

# 26 Financial product and benefit scheme risks

**5 primary questions** | Oldest to newest

2026 objectives: 3.3.2-3.3.4

16 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in index.html.

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|----------------------------------------------|----------|
| <a href="#">CA1-P1   September 2013   Q2</a> | 9 marks  |
| <a href="#">CA1-P1   April 2015   Q6</a>     | 20 marks |
| <a href="#">CA1-P1   September 2018   Q1</a> | 7 marks  |
| <a href="#">CP1-P1   April 2020   Q9</a>     | 14 marks |
| <a href="#">CP1-P1   April 2021   Q7</a>     | 12 marks |

## CA1-P1 | September 2013 | Q2

[Current topic](#) | [9 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

**2** An insurance company writes long-term care insurance.

Discuss the risks and uncertainties faced by:

- (a) the insurance company
- (b) the policyholder

[9]

**CA1-P1 | April 2015 | Q6**

Current topic | 20 marks total | Original PDF p3

Related: Ch 32, Ch 3.

- 6** For several years an insurance company has sold a whole life policy with level annual premiums. The policy pays out a fixed sum on the policyholder's death. On surrender after at least 15 years in-force a surrender value becomes payable – the surrender value never exceeds 10% of the sum assured.

- (i) Discuss the risks the insurance company is exposed to over the whole period of the contract. [7]

A number of investment funds have recently started offering to buy these policies from policyholders in exchange for a lump sum. The funds would take over the policy: pay premiums to the insurance company and then collect the death benefit in due course when the policyholder dies.

- (ii) (a) Set out why an investment fund might offer to buy these policies.  
(b) Discuss how a fund could determine the amount to offer for a policy. [10]

New regulations are about to be introduced forcing insurance companies to notify policyholders that investment funds may offer them a higher value than the surrender value.

- (iii) Discuss the impact on the insurance company of this change in regulation. [3]  
[Total 20]

## CA1-P1 | September 2018 | Q1

Current topic | 7 marks total | Original PDF p2

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 30.

- 1** A company offers unsecured short term loans to consumers who are in employment via the internet. The loans are for small amounts and are repayable as soon as the consumer receives their next salary from their employer. The repayment includes a defined cash fee agreed when the consumer is accepted for a loan.

Explain why the credit risk for these loans will be relatively high.

[7]

## CP1-P1 | April 2020 | Q9

Current topic | 14 marks total | Original PDF p4

Related: Ch 30.

- 9** A bank sells a special mortgage product to prospective borrowers aged over 70. The product provides a loan secured on the accumulated equity in the borrower's home.

The borrower does not need to make any cash payments to the bank on the amount borrowed. Interest is added to the loan balance every month; a fixed, non-reviewable rate of interest is charged. The loan balance (including accumulated interest) has to be repaid when the borrower dies, moves into long-term care or sells the property.

- (i) Describe the risks the bank is exposed to with this product. [6]
- (ii) Propose, with reasons, actions the bank could take to manage the risks identified in (i). [8]

[Total 14]

**CP1-P1 | April 2021 | Q7**

Current topic | 12 marks total | Original PDF p4

Examiner report and original paper: use the links for this question in index.html.

- 7** A defined benefit pension scheme in Country X has the following membership:
- 100 pensioners in payment who are all over the age of 80, but are receiving pension payments of £100,000 p.a., which increase in line with inflation
  - 1,000 pensioners in payment with an average age of 65, with an average pension of £5,000 p.a.
  - 1,000 deferred members who are due to retire in the next 5 years, with an average pension of £5,000 p.a.

The government of Country X is known for regularly changing the regulations for pension schemes.

- (i) Outline the factors that create uncertainty around the pension benefits that will be paid by the pension scheme. [6]

The pension scheme currently has a deficit of £50m, and the trustees are discussing a contribution plan with the sponsor of the scheme, to remove the deficit over a specified period.

- (ii) Describe the factors that may lead to uncertainty in the contributions required from the sponsor to remove the deficit. [6]

[Total 12]